

## Canada: Trade war likely to persist through US midterms

送信者: EG Canada 受信日時: 2026-08-28 02:53

### 【メール原文】

There is no clear off-ramp. US Section 338 tariffs on \$20 billion worth of Canadian goods are in force, and Canada plans to retaliate on 8 September. |||

Canada

[Customize Email Preferences](#)

Trade war likely to continue through US midterms

27 Aug 2026 13:50 EDT [Discover more on the Portal](#)

\*

Eurasia Group expects Canadian retaliatory tariffs to take effect as scheduled on 8 September, likely prompting another round of tit-for-tat levies and extending the US-Canada trade war through the US midterm elections (65% probability).

\*

Both sides remain open to renewed talks, although US President Donald Trump and Canadian Prime Minister Mark Carney have strong incentives not to back down and each wants to see the other move first to remove retaliatory measures, making a return to pre-22 August tariff levels unlikely for now (35% odds).

\*

The overall economic effects of US Section 338 tariffs and Canadian retaliatory measures are limited, but both Washington and Ottawa are targeting sectors and regions that depend heavily on cross-border exports to maximize commercial and political pressure.

There is no clear off-ramp. US Section 338 tariffs on \$20 billion worth of Canadian goods are in force, and Canada plans to retaliate on 8 September. Trump is unlikely to de-escalate, and Carney cannot afford to capitulate. Both are open to renewed talks but want the other to move first. Eurasia Group therefore expects Canada to impose retaliatory tariffs—likely triggering further tit-for-tat levies—and the trade war to continue through the US midterm elections (65% odds). While a return to pre-22 August tariff levels is possible, political constraints make it unlikely for now (35% odds). Signposts for a coordinated de-escalation include rhetorical overtures from key officials, backchannel engagement, disavowal of alleged US demands on Canadian content and third-party trade deals, and efforts by Canadian leaders to prepare public opinion.

Canadian public opinion is behind Carney. Polling shows overwhelming support for the decision to suspend trade talks. One survey found that 76% of voters, including majorities in every province, think Ottawa was right to walk away; nearly 80% support dollar-for-dollar retaliation. At the same time, 89% worry that the deepening trade war will raise the cost of living, and nearly 40% of workers are concerned about their job security. For now, Canadians appear willing to endure economic hardship because they believe national sovereignty and self-respect are at stake. Carney is additionally constrained by upcoming by-elections, provincial elections in Quebec, and the Alberta referendum. Ottawa remains open to renewed talks if prompted by the US, but the political cost to Carney of moving first or appearing to yield would be severe.

The US is unlikely to de-escalate first. Trump's initial response to the collapse of talks—a threat to double auto tariffs on 1 January 2027—suggests that he believes the US has leverage to force concessions. Canadian retaliation will probably prompt additional US tariff increases, the severity of which will be an important signpost for further escalation. This does not, however, preclude willingness to negotiate. The several-month runway before threatened auto tariff increases suggests that Washington wants to preserve room for talks, though it is unlikely to initiate de-escalation. As ever, Trump is driving US policy but is unconcerned with the details. His advisors need to reconcile competing priorities before productive negotiations can take place, and with midterms a weak restraint on Trump's actions the current trade war is likely to continue.

The overall effect of US Section 338 tariffs is relatively small. New tariffs apply to 5% of Canadian exports to the US (roughly 0.4% of GDP) but hit goods that previously entered duty-free under United States-Mexico-Canada Agreement exemptions. Canada's average effective US tariff rate will rise from 5.5% to 7.5% as a result.

British Columbia, Quebec, and Ontario are especially exposed, with roughly 10% of provincial exports to the US (by 2026 year-to-date value) subject to new duties. Agriculture, machinery and electronics, and wood, paper, and printing are among the hardest-hit sectors. Transportation and warehousing also face indirect economic losses. Targeted products are highly dependent on the US market, and some—such as Canadian alcohol facing 50% tariffs—will become cost-prohibitive for US importers.

Canada seeks to level the playing field and target swing states. Canadian retaliatory tariffs will apply to roughly 6% of US exports to Canada (by 2025 value). Steel and aluminum tariffs account for the largest share and will rise from 25% to 50%, which Ottawa argues is necessary to protect domestic producers. Other product categories mirror US Section 338 tariffs or target easily substitutable goods. Canada will also deploy tariffs for political effect, seeking to influence public opinion in key battleground states ahead of US midterm elections (see: [The Senate race is now nearly a coin flip](#) , 6 August 2026). However, the rollback of planned duties on US seafood exports owing to Canadian industry concerns, which would have affected Maine and Alaska, show Ottawa's challenge in calibrating retaliation.

Carney is unlikely to escalate. Ottawa aims to match, but not exceed, US tariffs. Although some provincial premiers have called for additional retaliatory measures—such as canceling F-35 purchases or curtailing crude oil, hydroelectricity, potash, or critical mineral exports—these are unlikely to materialize. Limiting flows or applying export taxes to strategic sectors would further harm Canada's economy and aggravate domestic divisions that Carney has worked hard to mend (see: [Carney's majority prompts long-term trajectory upgrade to neutral](#) , 14 May 2026). Federal officials also want to limit damage to the broader US-Canada relationship. Ottawa's goal is to withstand US pressure, not intensify the dispute.

Graeme Thompson  
Senior Analyst, Global Macro  
+1 202.540.5137  
[thompson@eurasiagroup.net](mailto:thompson@eurasiagroup.net)

Clayton Allen  
Practice Head, United States  
+1 202.903.0027  
allen@eurasiagroup.net  
Blaise Hanson  
Consultant, Geoeconomics  
hanson.ne@eurasiagroup.net  
Lucy Eve  
Director, Geoeconomics  
+44 (0)207.375.6927  
eve@eurasiagroup.net  
Noah Daponte-Smith  
Senior Analyst, United States  
daponte-smith@eurasiagroup.net  
EG Canada  
canada@eurasiagroup.net  
EG United States  
unitedstates@eurasiagroup.net  
EG Trade & Supply Chains  
trade@eurasiagroup.net

© 2026 Eurasia Group. All rights reserved. This material was produced by Eurasia Group for use by the recipient. This is intended as general background research and is not intended to constitute advice on any particular commercial investment or trade matter or issue and should not be relied upon for such purposes. It is not to be made available to any person other than the recipient. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form or by any means, electronic or otherwise, without the prior consent of Eurasia Group.

X-HG-DocID cmtbtt8m2uj007k5qwtv1ys

[Opt Out](#) | [Customize Email Preferences](#)